

PRICING FRAMEWORK

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HOW TO USE THIS FRAMEWORK?

This framework should serve as a guide to follow during a pricing review in your entity. It should contain all necessary theoretical information on pricing frameworks plus some practical application that you can use based on our current business models we have in AIESEC.

WHY REVIEWING PRICING?

As providers of a service we are subject to the market forces behind it, and therefore because of it we must also have a strategy and analysis that considers our internal resources, but especially also our customers to have a price that covers our costs, but also fits in the market appropriately.

HOW OFTEN SHOULD WE REVIEW OUR PRICES?

The review of pricing should be done at least **once a year**. This can be done either during **planning** or during **re-planning**. Though it is not necessary to have a very thorough pricing review every single year, it is recommended that every year you have processes established to review your pricing. **This also doesn't mean you need to change your price every year** The following is recommended:

1. Gabor-Granger, Van Westendorp and Competitors Analysis: **Every three years**
2. Macro-variables and Cost Analysis: **Every Year**

WHO SHOULD BE FINAL RESPONSIBLE FOR THE REVIEW?

Although traditionally we have let this be a project for the finance department, this is a conversation that should be mainly handled by either the **product head or the marketing head**. Finance should be involved as well, but the knowledge and reach required for this process involves more the

HOW TO REVIEW PRICING

There are 5 main steps you should follow when it comes to reviewing the pricing in your entity. Although this is not the only way to get to a new price, we recommend you follow these steps when changing your price.

These steps will be explained more in detail throughout this framework. Although some of these involve a whole section like weigh-in different decision criteria, others are explained within other sections

1. Evaluate and identify problems with your pricing
2. Establish a decision criteria based on your goals
3. Weigh all different decision criteria
4. Generate alternatives
5. Evaluate Alternatives
6. Choose the best price
7. Implement the decision
8. Evaluate the decision

2

EVALUATE YOUR PRICING:

COST ANALYSIS

COST ANALYSIS

Understanding your costs is a very important part of pricing. After all, how are you going to know if any pricing strategy works if you don't understand the costs?

TYPES OF COSTS:

Costs can be divided in two ways: Direct and indirect costs or fixed and variable costs. The division is made depending on what you want to get out of the analysis. If you want to know how costs are allocated to your product/service then you analyse them as direct and indirect. If what you want to know is how much your costs will change based on your output of exchange then you need to make a fixed/variable costs analysis

Indirect vs Direct

Direct Costs: are those that you can clearly relate to the output of one product. For example oGV and marketing costs for oGV or accommodation for an iGE trainee.

Indirect Costs: Those costs that cannot directly be allocated to one particular product or service because they relate to general activity of the organisation or cover for multiple products at the same time. Examples for that are office costs, salaries for MCVP Finance/TM.

Variable vs Fixed

Fixed Costs: Are those that won't change regardless of the output you have. For example you will always pay the same amount of rent for a year regardless of how many oGV EPs you have. Or you will always pay the same salary for an iGV CEEDer regardless of how many exchanges they make.

Variable Costs: They change with the output. The clearest example here is accommodation for trainees. The more you bring the more you pay for accommodation

CALCULATING INDIRECT COSTS

Because indirect costs are not obviously allocated to products, we need to set up a system in AIESEC on how to do that.

Remember that indirect costs are those that you can't directly assign to a product like office costs, office supplies, accounting costs, certain salaries, etc.

Indirect Costs are allocated to the product based on its revenues, its direct costs and its approvals. In the case of products we first must know what percentage of our business is taken up by products This is why we calculate our core performance first (Total X Revenues/Total Revenues).

Then:

Indirect Costs of Products

Core
Performance of
Entity

*

Total Indirect
Costs

*

[

(1/3 * % Direct X
Revenue by Product)

+

(1/3 * % Direct X
Costs by Product)

+

(1/3 * % Approvals
by Product)

]

Let's calculate an example where we want to know the indirect costs of oGT for the month of September.

Step 1: Calculate ALL the Indirect Costs of your entity and divide it in three equal parts.

Core Performance (exchange contribution): 60%
Office Costs: 1200
Salaries for Finance and TM: 1000
Office supplies: 100
Accounting: 300
TOTAL September Indirect Costs: 2600

60% of 2600=
€1.560

€520
Allocated to direct
Revenues

€520
Allocated to direct
Costs

€520
Allocated to
Approves

EVALUATING YOUR ENTITY'S PRICE

Having mentioned direct, indirect, variable and fixed costs. You can do this to set up an analysis of your current pricing. This can easily be done starting by asking yourself the following questions:

1. How much is my products' income currently covering for my costs?
2. If I would drop, stay the same or grow in exchange, how much would that affect my sustainability?

Pessimistic

Develop a scenario where you would drop 30% or more with your current pricing

Realistic

Analyse your sustainability with your current exchange results

Optimistic

Develop a scenario where you would grow 30% or more with your current pricing

3

ESTABLISH CRITERIA BASED ON GOALS

ANALYSIS FOR PRICING

IDENTIFY THE PROBLEMS OF YOUR CURRENT PRICING

To establish the criteria you're going to value most in your price change you must first analyse your pricing from different perspectives.

Developing the scenarios with your current pricing is not enough for you to know what's right or wrong with your current pricing. In order to do that you need to analyze your problems by asking and answering the following questions to yourself.

1. Is my pricing covering my basic fixed costs? (Cost Analysis)
2. Is my pricing covering my indirect costs? (Cost Analysis)
3. Is my pricing aligned to the value perceived by customers in the market? (Customer-based Market Analysis)
4. Is my pricing competitive in the market? (Competitor-based Market Analysis)
5. How does my entity fare in comparison to other entities with similar realities? (Macro-variables analysis)

Although these questions might seem simple at first glance each of them will lead us to a different type of analysis which you can find in parenthesis.

A combination of data insights and intuition based on the knowledge you have on your entity should give you a good head start on where to start analysing your pricing.

The different analysis we present in this framework will allow you to evaluate your current and your prospected pricing.

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WEIGH-IN ALL DIFFERENT CRITERIA

TYPES OF PRICE ANALYSIS

COST-PLUS PRICING

Cost plus pricing involves adding a markup (extra amount) to the cost of goods and services to arrive at a selling price. Under this approach, you add together the direct and indirect costs for a product, and add to it a markup percentage in order to derive the price of the product.

Examples:

Total Direct Costs of oGV: €100
Total Indirect Costs of oGV: €130
Desired Markup: 35%

Total Costs oGV €100+€130= €230

Price oGV: €230*1.35= €310.50

Total Direct Costs of iGV project: €200
Total Indirect Costs of iGV project: €150
Desired Markup: 20%

Total Costs iGV: €200+€150= €350

Price iGV per EP (to partner): €350*1.20= €420

Advantages:

Simple to set: Cost plus pricing is relatively simple to set as you see its calculations are not that difficult to make. The more complex one is only the one for indirect cost calculation.

Justifiable: As a non-profit it's easier to justify a pricing that derives from cost and a simple markup rather than a market price.

Disadvantages:

Ignores competition and the market in general: Not taking competition or similar organisations into consideration might make us very misaligned with the market and affect our market share.

Cost controlling might run out of control: If costs are a basis for the price, then every year when doing price review entities might ignore innovative cost-cutting practices because the price is anyway set above the costs regardless of what that is.

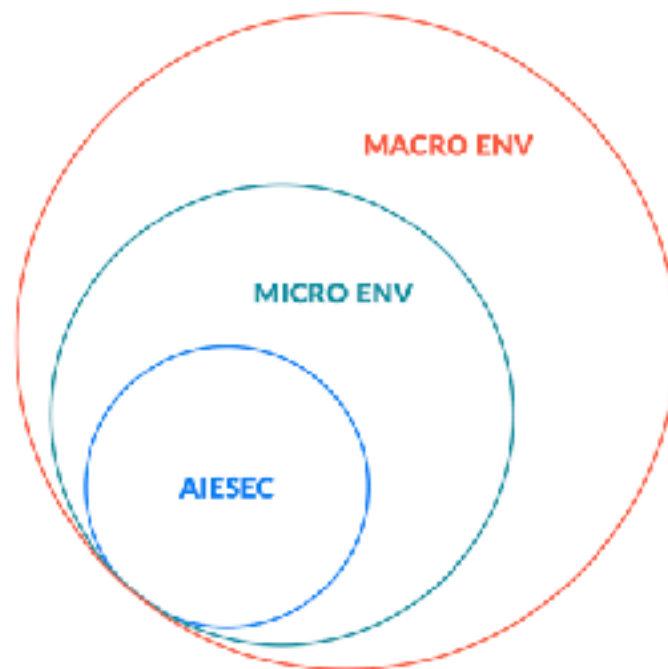
MARKET ANALYSIS

To understand the forces that control the market we need to first find ourselves in it. To do this we first do a micro-environment/macro-environment analysis. What does this mean?

The bigger circle represents the macro-environment. This refers to all the macro variables that affect our everyday economic life. Like Inflation, Purchasing power parity, human development index, growth in GDP, etc.

The circle in the middle is the micro-environment. This encompasses the economic activity around AIESEC. In other words, the economic agents that act around AIESEC's activities like customers and competitors.

And lastly in the smallest circle we have AIESEC which contains the variables that we can control and steer like pricing, bundles of products, discounts, etc.



Inflation

Secondary Research

Purchasing Power Parity

Secondary Research

HDI

Secondary Research

(Customer) Perceived Value:

- A. Van Westendorp Price Sensitivity Meter
- B. Gabor-Granger Technique
- C. Conjoint Analysis

Competitor Analysis:

Direct Competitors > framework needed
Indirect Competitors > framework needed

Product:

- A. Premium pricing
- B. Penetration pricing
- C. Economy pricing

MACRO ENVIRONMENT

Macro environment refers to the main external indicators that reflect the reality of your entity. These can be inflation, GDP adjusted by PPP, HDI, etc. For reasons of brevity we will not go in detail as to what each of these metrics mean given that this can be found very easily online and is not the main purpose of this framework.

Elements of the Macro Environment:

GDP-PPP per Capita

This metric measures the economic reality of your country/territory by providing an index of how cheap/expensive are products sold in your reality. The higher the number the higher the monetary value of an average product.

Inflation

Inflation is telling you how prices are changing (inflating) in your entity.

The higher the number, the faster prices are changing.

AIESEC Pricing in Region

This metric can serve as support on how pricing is being done in entities in your similar reality.

MACRO-VARIABLES PRICING TOOL

You might have already seen this tool as our regular pricing tool from the GFB. You can still find this tool in aiesec.org/pricing. What this tool essentially does is comparing your prices to entities that are in a similar reality as yours by matching such entities with macro-variables like GDP-PPP, HDI and UN country/territory classification metrics.

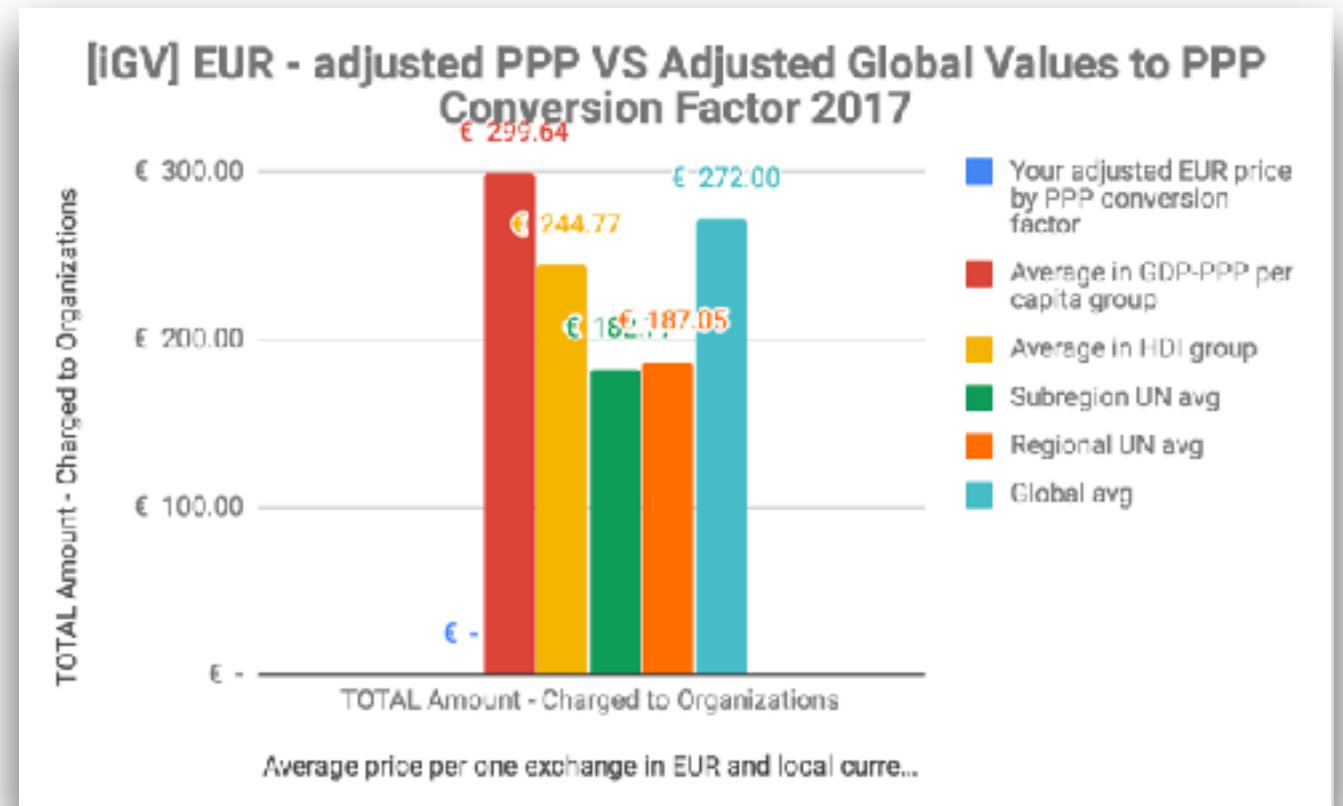
Advantages:

Easy to compare: With this tool it's very to benchmark your entity with other entities in a similar economic reality as yours. This can give you a good starting point on what is a price that has worked through trial and error across your region.

Disadvantages:

Not taking market directly into consideration: Consider this, if no entity has taken the market into consideration in the realities you are comparing yourself to, then you won't have a price that reflects that.

Only internal benchmarking: Because only AIESEC entities are being taken into consideration the tool is biased to whatever internal pricing processes these entities have.



MICRO ENVIRONMENT

The micro environment in marketing includes all those micro factors that affect business strategy, decision making and performance. It is vital for business success to conduct macro environment and micro environment analysis before decision-making process. One of these decisions is **product pricing**.

Elements of the Micro Environment:

The elements of the micro environment, in business are: customers, competitors, suppliers, media, public etc. In order to understand the marketing micro-environment of your entity, you need to analyse and have a clear understanding of the following two elements of the micro environment:

Customers

It is important to know who your customers are in order to understand what their expectations are of the product, what is their perception of it, their perceived value and the price they are willing to pay.

This applies to both youth customers and partners.

Competitors

It is important to know who your competitors are, what is their offering, their value proposition and what do they charge for their services to position AIESEC competitively in the market.

This applies to both competitors offering a similar product as our exchange products for youth and a similar solution we offer to partners.

CUSTOMERS RESEARCH FOR PRODUCT PRICING

Pricing studies are designed to help you understand what customers are willing to pay for a product, and determine the optimal price point to maximise revenue.

The proposed models to conduct customer research for product pricing to determine the relationship between price and demand, determining the optimum price point that maximises sustainability are the following:

Gabor Granger Method

Using **Gabor Granger** is simple and is based upon asking people the likelihood of their purchasing a product or service at different prices. Based on this, you would plot the likelihood of the product to be purchased at different price points.

Instructions

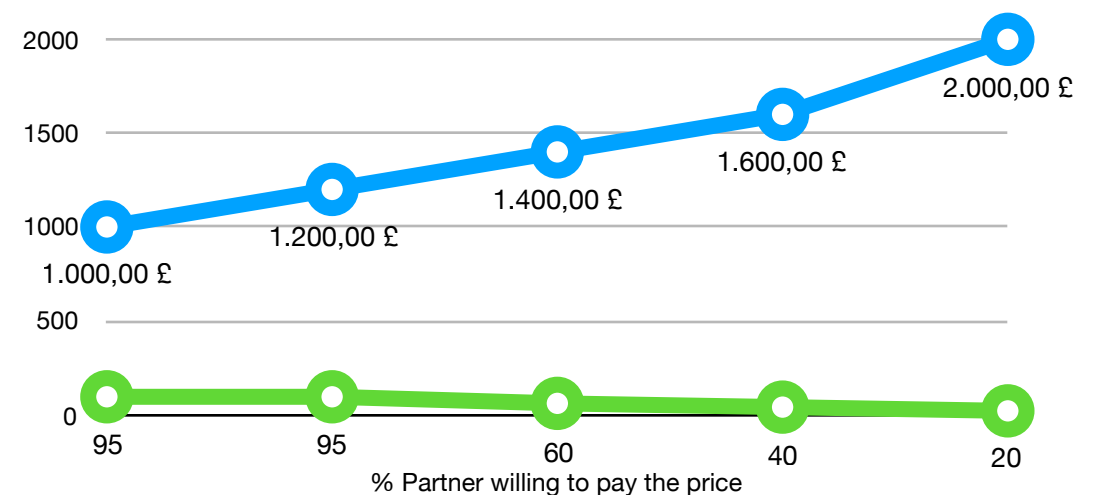
Invite potential customers for an interview in which you will present the product value proposition, benefits and details. You will want to interview a relevant sample (recommended a minimum of 30 people/ segment, fit to the customer persona you are targeting and ask the following questions:

1. Would you purchase Product X at a price A
2. Would you still purchase Product X at a price B
3. Would you still purchase Product X at a price C
4. Would you still purchase Product X at a price D
5. Would you still purchase Product X at a price E

The rule is that the price A (minimum price) < price B < price C < price D < price E (maximum price)

Example

You've interviewed 30 HR directors potentially looking for Global Talent interns and asked the 6 consecutive question, you've plotted the % of demand (HR directors willing to pay) against the 5 price points suggested.



After conducting the interview, you realise that the number of partners willing to pay £1000 and £1200 is the same, thus the logical choice is to price your product at £1200

Van Westendorp Method

The **Van Westendorp method** is another is another simple method based on the assumption that after explaining the product and benefits to a potential customer, they will be able to approximate the price they are willing to pay for the product.

Based on this, you would plot the likelihood of the product to be purchased at different price points.

Instructions

Invite potential customers for an interview in which you will present the product value proposition, benefits and details. You will want to interview a relevant sample (recommended a minimum of 30 people/ segment, fit to the customer persona you are targeting and ask the following questions:

1. At what price would you consider the product to be so expensive that you would not consider buying it? (Too expensive)
2. At what price would you consider the product to be priced so low that you would feel the quality couldn't be very good? (Too cheap)
3. At what price would you consider the product starting to get expensive, so that it is not out of the question, but you would have to give some thought to buying it? (Expensive/High Side)
4. At what price would you consider the product to be a bargain—a great buy for the money? (Cheap/Good Value)

POINT OF MARGINAL CHEAPNESS (PMC)

The price points where more sales would be lost due to questionable quality than would be gained from bargain hunters.

POINT OF MARGINAL EXPENSIVENESS (PME)

Price point above which cost is a serious concern, where it is felt that the product is too expensive for the value derived from it.

OPTIMUM PRICE POINT (OPP)

At this price point, the percentage of customers that feel the product is too expensive is the same as those who feel it is so low that the quality is questionable.

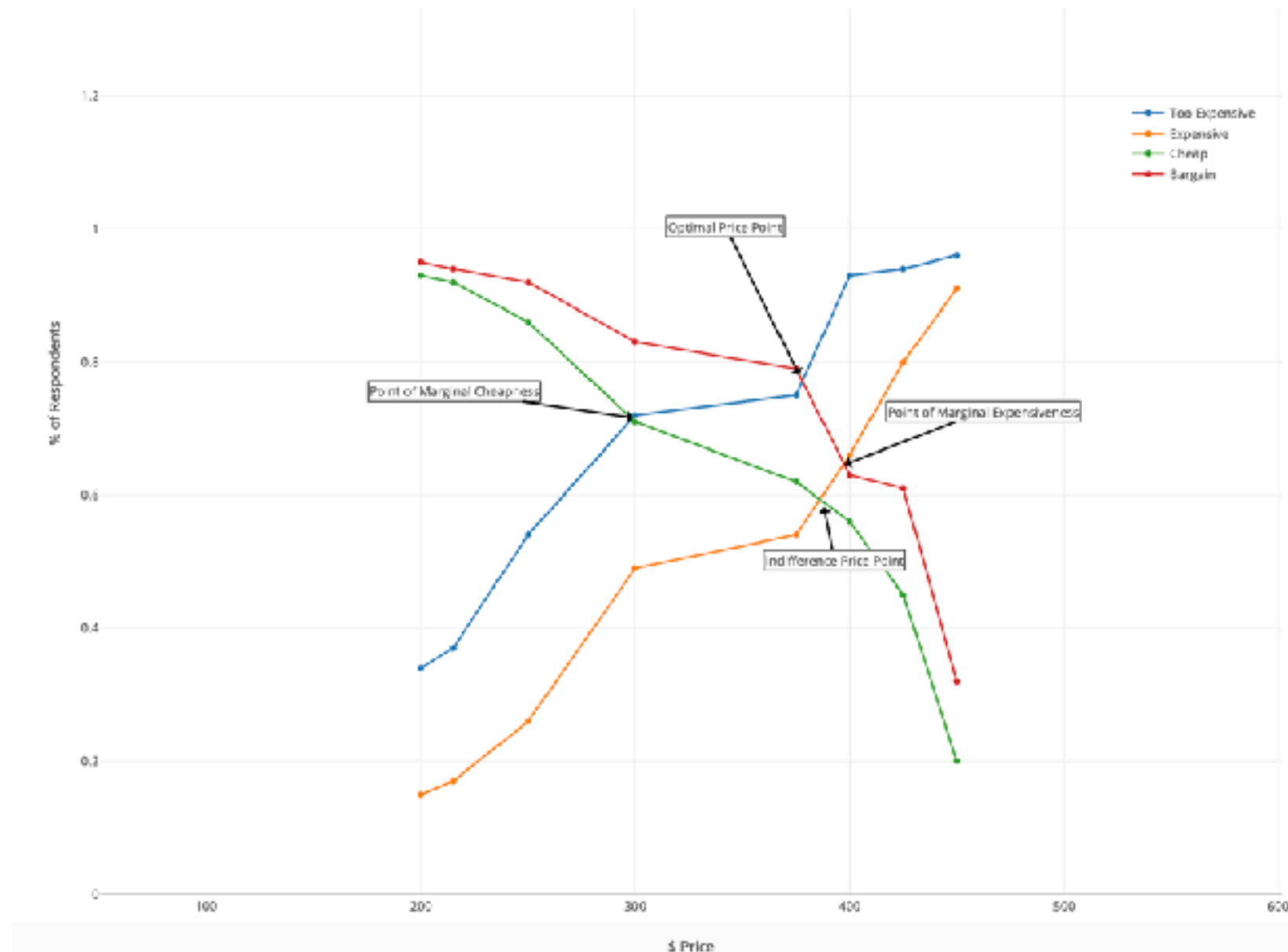
INDIFFERENCE PRICE POINT (IPP)

Point at which the same percentage of customers feel that the product is getting too expensive as those who feel it is at a bargain price. This is the point at which most customers are indifferent to the price.

Instructions

For oGX: You've interviewed 300 potential youth customers for oGT, young people - recently graduates or in their final semester of studies and asked them the 4 questions. You've plotted the percentage of respondents on a chart and intersected the answers for the 4 questions (which are based on the four categories). The 4 different price points are obtained at the four intersections of each 2 lines:

For iCX: You've interviewed 100 potential partners for iGT, small and medium companies - looking for BA profiles and asked them the 4 questions. You've plotted the percentage of respondents on a chart and intersected the answers for the 4 questions (which are based on the four categories). The 4 different price points are obtained at the four intersections of each 2 lines:



MARKET-BASED PRICING TOOL

In the pricing package at aies.ec/pricing you can find a market-based pricing tool that covers both the Gabor Grange and the Van Westendorp method and it should help you find an appropriate market-based price for your entity. The template includes a place for you to copy paste the answers to your surveys so you can get a direct analysis for the price.

Advantages:

Based on customer wants: Who can tell you best how your price is set than the people who buy your services? This is the biggest advantage of this type of pricing.

Disadvantages:

Customers often don't estimate accurately how much they would pay for something: This bias can come because they don't see the full product, or simply they can't put a monetary estimate on what they would prefer.

Needs a significant sample and effort: To be able to come up with a final number on these types of pricing a significant sample (maybe around the thousands) to get a really accurate number.



COMPETITORS RESEARCH FOR PRODUCT PRICING

With competition pricing research, competitors' prices are used as a benchmark. And you can understand if your product is priced at, below, or above competitor prices.

Competition-based pricing focuses solely on the competition, ignoring consumer demand and production costs. It's often in a business' best interest to use more than one pricing strategy to take these additional factors into account.

Instructions

1. Identify your competitors

First, you'll need to figure out who you're really competing with so you can compare the data accurately. What works in a business similar to yours may not work for your brand. So how can you do this?

Divide your "competitors" into two categories: direct and indirect. Direct competitors are businesses that offer a product or service that could pass as a similar substitute for yours and that operate in your same geographic area. On the flip side, an indirect competitor is one that provides products that are not the same but could satisfy the same customer need or solve the same problem.

Let's say you're going to lunch and would prefer Turkish food. Two local Turkish restaurants nearby are direct competitors of each other. Consumers in the area consider their food basically the same. You may, however, decide to try out the new Thai restaurant on the corner instead. The Turkish restaurants and Thai restaurant would be considered indirect competitors. The difference may seem gray at first. Defining your industry or the problem you solve can provide clarity between direct and indirect competitors

Note that AIESECs direct competitors are:

For Youth: Organizations or businesses that allow young people to go on volunteer or professional exchange abroad

For Partners:

COMPETITORS RESEARCH FOR PRODUCT PRICING

Instructions

2. Gather information about your main competitors

Once you’ve identified your main competitors, you’ll want to gather as much information as possible about their product pricing. Gather information about their product such as services included and excluded, and compare the main services provided by AIESEC to theirs.

Example for iGT	Competitor 1	Competitor 2	Competitor 3
Price	1500\$	5000\$	3500\$
Value provided	Easy access to Talent	Recruitment for your Company	Access to International Talent
Extra-costs to be considered	Visa and Housing	Visa	Visa and Housing
Amount of extra-costs	150 000\$	15 000\$	20 000\$
Account Manager	No	Yes	Yes
Help with Visa	No	Yes	No
Support during experience	Yes	Yes	Yes
Help with Accommodation	No	Yes	Yes
Extra services	Nothing	Recruitment process included	Nothing

5

CHOOSE THE BEST PRICE

ANALYSIS FOR PRICING

USING DIFFERENT TOOLS TO CREATE SCENARIOS

As you have seen before throughout this framework, there are different ways to come up with a numerical result for pricing. There's the Cost plus price, the Macro-variables price, the Gabor Granger Price, the Van Westendrop price and the Competitor's based price. All of these different ways of looking at the price have their valid justifications behind their logic and have their valid criticisms as well. But after having all this information?

There is no 'magic' formula that we could suggest you on coming up with this decision. But there is a simple framework we can give you based on the different options for your pricing.

The essential steps for making a good decision are:

1. **Evaluate and Identify the Problem With Your Pricing:** This is done at the beginning when you're analysing the costs in your entity.
2. **Establish a decision criteria based on your goals:** Once you have identified the main components of the problems you have with pricing in your entity you can establish what needs to be there in the solution.
3. **Weigh all different decision criteria:** Entity Costs, , reality of the country/territory (Macro-v, customer preferences, competitor's prices, etc.
4. **Generate alternatives:** Macro-variables analysis, Cost plus pricing analysis, Gabor Granger, Van Westendrop, Competitor's analysis, etc.
5. **Evaluate Alternatives:** Use the different tools at your disposal for coming up with a numerical final number and create scenarios with those numbers. Have a pessimistic, realistic and optimistic version of your scenarios in terms of exchange results.
6. **Choose the best price:** Based on step 2 and through a decision-making process like a decision-making matrix, evaluate and choose the best alternative for pricing.
7. **Implement the decision**
8. **Evaluate the decision**

USING A DECISION-MAKING MATRIX

Quality	Weight	\$100.00	\$200.00	\$300.00	\$400.00	\$500.00
Covers Basic Costs	5	No	No	Yes	Yes	Yes
Positive Feedback from Customers	3	Yes	Yes	Yes	Yes	No
Competitive	2	Yes	Yes	No	No	No
Change management in entity	4	Yes	Yes	Yes	No	No

A decision-making matrix can help you structure your mind when it comes to coming up with a decision such as pricing. What you do is essentially putting the different criteria or qualities you want to see in the price implementation process and you weigh them against each other.

In this example we put four different criteria. The first one is covering basic costs, which shows if we would be able to cover the main costs of running the product. This is extremely important to have given that no matter what decision you take on pricing you need to at least cover your direct and indirect costs. Then we have positive feedback from customers. This can be done with the output of Gabor-Granger or Van Westendorp Analysis. After, we have 'competitive' where we assess our price in comparison to our competitors, then lastly we have 'change management in the entity' where we assess how difficult it would be to get buy-in from the network and partners on the change.

It is up to you to create the qualities and the weightage (importance) that you give to each of the qualities of the pricing analysis that you do. Based on your weightage you can make sure to come up with a final calculation on what decision should be made.

6

IMPLEMENT THE PRICE CHANGE

ANALYSIS FOR PRICING

IMPLEMENTING THE DECISION

A very important aspect of the pricing implementation process is that even though this is one of the last steps in the framework for the whole process it doesn't mean it starts happening at the end. **The change management process in pricing starts the moment you start with the pricing review.** If you don't get buy-in from your network and don't properly on-board partners with the new price, your whole process might get lost in implementation.

There are three main stakeholders in the price change that should be considered in the price change:

1. Network
2. Customers
3. Partners

On-boarding the network

The process of on-boarding the network with the price change needs to start from the moment the review starts and it's important to have network representation during the process. This does not mean that the whole network needs to be part of the decision, but they definitely need to be up to date with how the process is going.

The following are a few network mechanisms you can use:

1. **Pricing task-force with some LCPs, Product Heads and LCVPs** F. By doing this you can distribute some of the tasks in the pricing change to the stakeholders that get to implement it.
2. **Pilot LCs:** If your entity has a considerable amount of LCs, then you can consider have piloting LCs for the first stages of the implementation process to get some last feedback on the pricing implementation process.
3. **Knowledge Management:** Having your price clearly communicated in your compendium,